

Economics Question Bank

163 questions with 4 answer options. Correct answers are marked in bold. Visual questions include generated diagrams/tables/graphs.

1. What is the definition of economic efficiency?

- A) Using resources to produce maximum output**
 - B) Increasing prices of all goods
 - C) Reducing all production
 - D) Producing only luxury goods
- Correct answer: **A) Using resources to produce maximum output**

2. This is not intangible production

- A) Education
 - B) Healthcare
 - C) Manufacturing of furniture**
 - D) Consulting services
- Correct answer: **C) Manufacturing of furniture**

3. What is the size of the enterprise if the average annual number of employees is 99 people?

- A) Micro enterprise
 - B) Small enterprise**
 - C) Medium enterprise
 - D) Large enterprise
- Correct answer: **B) Small enterprise**

4. What is the size of the enterprise if the average annual income is 300,001 MCI or more?

- A) Small enterprise
 - B) Medium enterprise
 - C) Large enterprise**
 - D) Micro enterprise
- Correct answer: **C) Large enterprise**

5. Social production includes:

- A) Only material production
 - B) Only services
 - C) Material and intangible production**
 - D) Only household work
- Correct answer: **C) Material and intangible production**

6. GDP is

- A) The value of final goods and services produced in a country**
 - B) The value of only imported goods
 - C) The total population income only
 - D) The value of intermediate goods only
- Correct answer: **A) The value of final goods and services produced in a country**

7. Sectors of Kazakhstani GDP include

- A) Agriculture, industry, construction, services**
 - B) Only oil and gas
 - C) Only agriculture
 - D) Only public services
- Correct answer: **A) Agriculture, industry, construction, services**

8. Which of the following best reflects the difference between material and intangible production?

A) Material production creates physical goods, intangible production creates services

B) Both create only physical goods

C) Intangible production creates machines

D) Material production creates only ideas

Correct answer: A) Material production creates physical goods, intangible production creates services

9. Which of the following correctly describes GDP?

A) GDP measures total value of final goods and services

B) GDP measures only exports

C) GDP measures only salaries

D) GDP measures only taxes

Correct answer: A) GDP measures total value of final goods and services

10. What does production include?

A) Creating goods and services

B) Only selling products

C) Only advertising

D) Only consuming goods

Correct answer: A) Creating goods and services

11. Government policies designed to promote efficiency:

A) Can improve allocation of resources

B) Always reduce productivity

C) Always cause inflation

D) Stop all economic activity

Correct answer: A) Can improve allocation of resources

12. All of the following can be considered a student's costs of going to college, EXCEPT:

A) Tuition fees

B) Books and supplies

C) Opportunity cost of time

D) Free scholarship received

Correct answer: D) Free scholarship received

13. An airline's plane from Los Angeles to New York is about to take off, but it still has a few seats empty. If the average cost per seat is 500 dollars, what price should the airline charge passengers in standby to fill those remaining seats?

A) Any price above marginal cost

B) Exactly average cost \$500

C) More than \$1000 only

D) Refuse all passengers

Correct answer: A) Any price above marginal cost

14. The Federal government enacted regulation requiring people to wear seatbelts in their cars. All of the following resulted from this regulation, EXCEPT:

A) Fewer driver deaths

B) More careless driving

C) More pedestrian accidents

D) Elimination of all car accidents

Correct answer: D) Elimination of all car accidents

15. When two persons trade goods:

A) Both can become better off

B) Both always lose

C) One must always lose

D) Nothing changes in any case

Correct answer: A) Both can become better off

16. In a market economy, the decisions of what and how much to produce are made by:

A) Government only

B) Buyers and sellers through markets

C) Banks only

D) Foreign companies only

Correct answer: B) Buyers and sellers through markets

17. Even though markets do a great job in organizing economic activity, governments are needed to do all of the following EXCEPT:

A) Enforce property rights

B) Promote equity

C) Correct market failures

D) Make every daily business decision

Correct answer: D) Make every daily business decision

18. Living standards in the United States have risen tremendously over the years, mainly due to:

A) Productivity growth

B) More holidays

C) Higher inflation

D) Less trade

Correct answer: A) Productivity growth

19. Rapid and persistent inflation occurs mainly due to:

A) Growth in money supply

B) Lower prices

C) Less demand

D) Higher unemployment

Correct answer: A) Growth in money supply

20. A government that implements a policy designed to reduce inflation can expect unemployment to:

A) Increase in the short run

B) Disappear immediately

C) Stay zero

D) Always decrease

Correct answer: A) Increase in the short run

21. Which of the following does macroeconomics NOT study?

A) Inflation

B) National income

C) Unemployment

D) Individual firm pricing only

Correct answer: D) Individual firm pricing only

22. Suppose that a farmer grows wheat and sells it to a baker for \$1, the baker makes bread and sells it to a store for \$2, and the store sells it to the customer for \$3. This series of transactions increases GDP by:

- A) \$1
- B) \$2
- C) \$3**
- D) \$6

Correct answer: C) \$3

23. Which of the following is NOT included in GDP?

- A) New car produced this year
- B) Government services
- C) Used car resale**
- D) New house construction

Correct answer: C) Used car resale

24. In which case is total expenditure in an economy NOT equal to total income?

- A) Never, they are equal by definition**
- B) When exports rise
- C) When imports rise
- D) When consumption rises

Correct answer: A) Never, they are equal by definition

25. All other things equal, GDP will rise if:

- A) Production of final goods increases**
- B) Only prices fall
- C) Imports disappear only
- D) People stop working

Correct answer: A) Production of final goods increases

26. Suppose that a car was produced but not sold in 2021. The car could still be sold in 2022. According to the book, the car would be counted as part of:

- A) 2021 GDP as inventory investment**
- B) 2022 GDP only
- C) Not counted at all
- D) Counted twice

Correct answer: A) 2021 GDP as inventory investment

27. Which of the following statements describes the difference between real and nominal GDP?

- A) Real GDP adjusts for inflation, nominal GDP uses current prices**
- B) Real GDP uses only imports
- C) Nominal GDP excludes prices
- D) They are always equal

Correct answer: A) Real GDP adjusts for inflation, nominal GDP uses current prices

28. If production remains the same and all prices double, then real GDP:

- A) Remains unchanged**
 - B) Doubles
 - C) Falls by half
 - D) Becomes zero
- Correct answer: A) Remains unchanged**

29. Real GDP equals:

A) Nominal GDP adjusted for price changes

B) Total exports only

C) Population divided by income

D) Taxes minus spending

Correct answer: A) Nominal GDP adjusted for price changes

30. If production remains the same and all prices double relative to the base year, then the GDP deflator is:

A) 50

B) 100

C) 200

D) 500

Correct answer: C) 200

31. Simple (one-dimensional) goals are typically resolved in:

A) One step/action

B) Many unrelated programs

C) Long-term strategy only

D) International trade only

Correct answer: A) One step/action

32. Which of the following is an example of a COMPLEX goal?

A) Expanding into a national network

B) Sending one email

C) Paying one invoice

D) Printing one page

Correct answer: A) Expanding into a national network

33. Short-term and medium-term goals help implement:

A) Strategic goals

B) Random decisions

C) Only personal goals

D) Only legal rules

Correct answer: A) Strategic goals

34. "Grow from a startup into a large federal network" is an example of a:

A) Strategic goal

B) Simple task

C) Operational routine

D) Personal goal

Correct answer: A) Strategic goal

35. Which type of goal relates to the development and implementation of new technology?

A) Innovation goal

B) Social goal

C) Marketing goal

D) Financial goal

Correct answer: A) Innovation goal

36. Goals related to the promotion of products and development of sales markets are called:

- A) Marketing goals**
- B) Personnel goals
- C) Production goals
- D) Environmental goals

Correct answer: A) Marketing goals

37. Which type of goal focuses on developing human resources and the company's social impact?

- A) Social goals**
- B) Financial goals
- C) Technical goals
- D) Investment goals

Correct answer: A) Social goals

38. Goals that reflect the internal needs of the organization are called:

- A) Internal goals**
- B) External goals
- C) Political goals
- D) National goals

Correct answer: A) Internal goals

39. "Establish partner relations with leading suppliers" is an example of a(n):

- A) External goal**
- B) Internal goal
- C) Personal goal
- D) Random goal

Correct answer: A) External goal

40. Necessary goals are those whose achievement:

- A) Is required for organization survival/functioning**
- B) Is optional
- C) Is impossible
- D) Is unrelated to business

Correct answer: A) Is required for organization survival/functioning

41. "Develop an innovative product, launch a new service line" are examples of:

- A) Innovation goals**
- B) Routine goals
- C) Control goals
- D) Communication goals

Correct answer: A) Innovation goals

42. Goals aimed at achieving a specific STATE of a management object result in:

- A) State/result goals**
- B) Process goals
- C) Random goals
- D) Informal goals

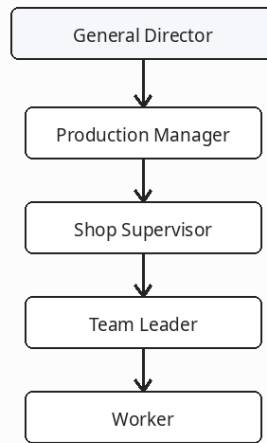
Correct answer: A) State/result goals

43. "Win the Best Enterprise of the Year competition" is a goal aimed at:

- A) Image/reputation goal**
- B) Production goal
- C) Cost-cutting goal
- D) Legal goal

Correct answer: A) Image/reputation goal

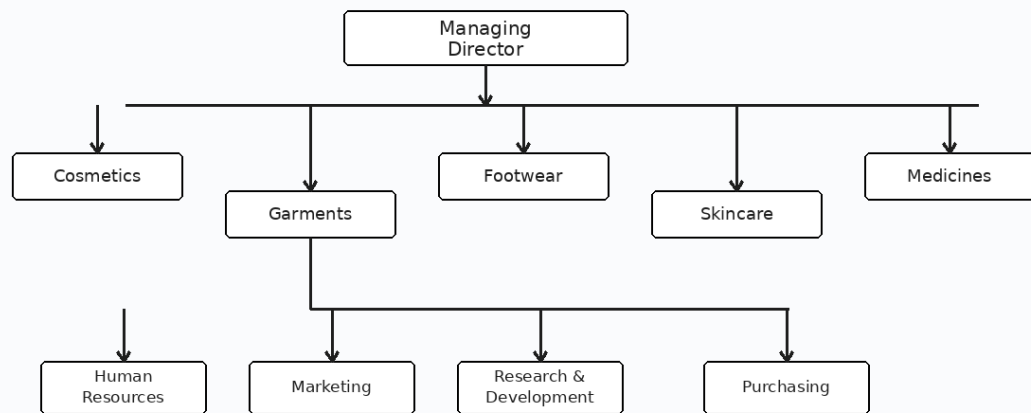
44. What is the organizational structure shown in Diagram?



- A) Linear structure
- B) Functional structure
- C) Matrix structure
- D) Divisional/Product structure

Correct answer: A) Linear structure

45. What is the organizational structure shown in Diagram?



- A) Functional structure
- B) Matrix structure
- C) Divisional/Product structure
- D) Linear structure

Correct answer: C) Divisional/Product structure

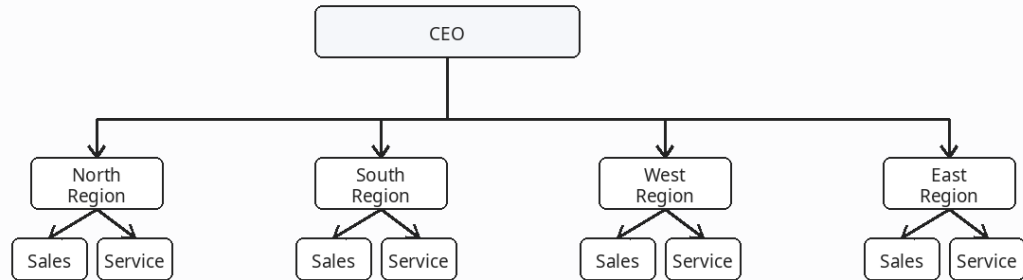
46. What is the organizational structure shown in Diagram?

Functional managers			
Projects / Functions	Marketing	Finance	R&D
Project A	Shared team	Shared team	Shared team
Project B	Shared team	Shared team	Shared team
Project C	Shared team	Shared team	Shared team

- A) Linear structure
- B) Functional structure
- C) Matrix structure
- D) Market structure

Correct answer: C) Matrix structure

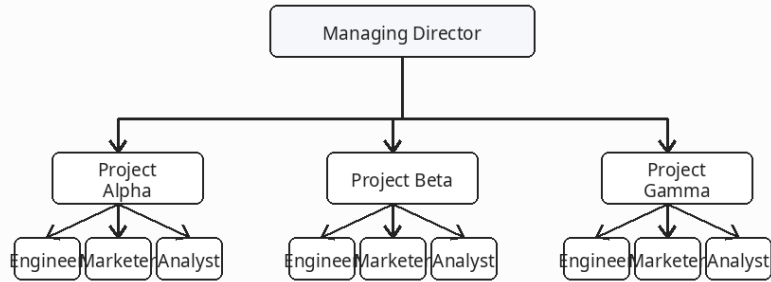
47. What is the organizational structure shown in Diagram?



- A) Divisional/Regional structure
- B) Functional structure
- C) Linear structure
- D) Network structure

Correct answer: A) Regional structure

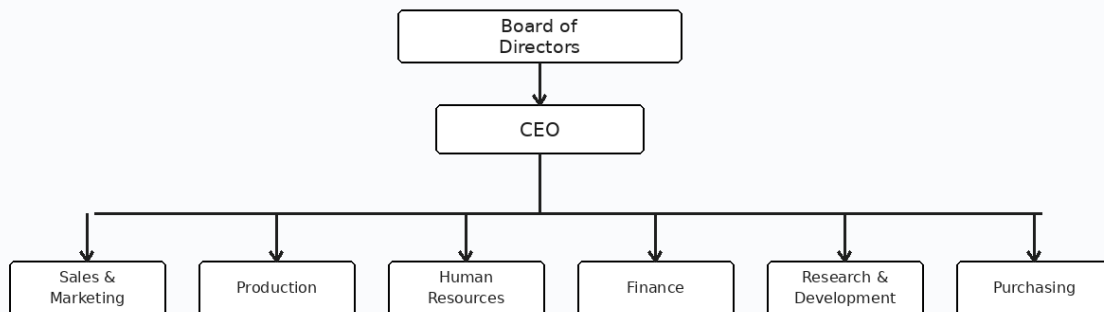
48. What is the organizational structure shown in Diagram?



- A) Project structure
- B) Functional structure
- C) Linear structure
- D) Market structure

Correct answer: C) Project structure

49. What is the organizational structure shown in Diagram?



- A) Matrix structure
- B) Functional structure
- C) Market structure
- D) Project structure

Correct answer: B) Functional structure

50. An increase of sales of key products by 25% is _____ goal of enterprise.

- A) Marketing**
- B) Social
- C) Technical
- D) Random

Correct answer: A) Marketing

51. Increase the profitability of the company and reduce costs are _____

- A) Financial goals**
- B) Social goals
- C) Marketing goals
- D) Communication goals

Correct answer: A) Financial goals

52. What is the economic benefits from capital?

- A) Interest**
- B) Rent
- C) Wage
- D) Tax

Correct answer: A) Interest

53. Working capital doesn't include:

- A) Raw materials
- B) Cash
- C) Finished goods
- D) Buildings and equipment**

Correct answer: D) Buildings and equipment

54. How many types does Market Structure have?

- A) 2
- B) 3
- C) 4**
- D) 6

Correct answer: C) 4

55. Market is ____

- A) A place/mechanism where buyers and sellers exchange goods and services**
- B) A government office
- C) A type of factory
- D) A banking document

Correct answer: A) A place/mechanism where buyers and sellers exchange goods and services

56. Novels and Movies refers to the which type of Market Structure?

- A) Monopoly
- B) Perfect competition
- C) Monopolistic competition**
- D) Oligopoly

Correct answer: C) Monopolistic competition

57. Firms that sell highly differentiated consumer goods typically spend between ____ percent of revenue on advertising.

- A) 0-1%
- B) 10-20%**
- C) 50-70%
- D) 90-100%

Correct answer: B) 10-20%

58. Critics of advertising argue that firms advertise in order to _____ people's tastes.

- A) Manipulate**
- B) Ignore
- C) Reduce
- D) Eliminate

Correct answer: A) Manipulate

59. Emphasis on availability and affordability of the product is

- A) Production concept**
- B) Marketing concept
- C) Selling concept
- D) Societal concept

Correct answer: A) Production concept

60. SWOT analysis is a technique developed at Stanford in the _____ , frequently used in strategic planning

- A) 1930s
- B) 1950s
- C) 1960s**
- D) 1990s

Correct answer: C) 1960s

61. Digital marketing can use _____ to reach consumers

- A) Social media and online platforms**
- B) Only newspapers
- C) Only radio
- D) Only physical stores

Correct answer: A) Social media and online platforms

62. Types of economy are

- A) Traditional, command, market, mixed**
- B) Only market and mixed
- C) Only agricultural and industrial
- D) Only public and private

Correct answer: A) Traditional, command, market, mixed

63. Defenders of advertising argue that advertising _____

- A) Increases competition and informs consumers**
- B) Always raises prices
- C) Decreases product variety
- D) Eliminates consumer choice

Correct answer: A) Increases competition and informs consumers

64. Countries A and B each have 10,000 hours of labor per month, and the following technologies: A - producing one good «C» requires 1 hours; producing one good «D» requires 4 hours. B - producing one good «C» requires 5 hours; producing one good «D» requires 5 hours. Which country has an absolute advantage in the production of good «C»?

- A) Country A**
- B) Country B
- C) Both countries
- D) Neither country

Correct answer: A) Country A

65. Countries A and B each have 10,000 hours of labor per month, and the following technologies: A - producing one good «C» requires 2 hours; producing one good «D» requires 8 hours. B - producing one good «C» requires 3 hours, producing one good «D» requires 9 hours. Which country has a comparative advantage in the production of good «D»?

- A) Country A
- B) Country B**
- C) Both countries
- D) Neither country

Correct answer: B) Country B

66. Nominal exchange rate: $e = 480$ tenge/\$. Price of bread in USA: $P = \$2$. Price of bread in Kazakhstan: $P = 200$ tenge. What is real exchange rate?

- A) 0.24
- B) 2.4
- C) 4.8**
- D) 480

Correct answer: C) 4.8

67. International economics doesn't

- A) Study trade between countries
- B) Study exchange rates
- C) Study balance of payments
- D) Study only one firm's internal management**

Correct answer: D) Study only one firm's internal management

68. For Trade Surplus:

- A) Exports > Imports**
- B) Imports > Exports
- C) Exports = Imports
- D) Imports = 0 only

Correct answer: A) Exports > Imports

69. For Trade Deficit:

- A) Exports > Imports
- B) Imports > Exports**
- C) Exports = Imports
- D) Net exports are positive

Correct answer: B) Imports > Exports

70. The US sells the goods and Japan pays 5000 yen for these goods. After that, 5,000 yen remains in US hands. What are the outcomes of this deal?

A) US exports goods and receives foreign currency

B) Japan exports goods

C) US imports goods

D) No balance of payments effect

Correct answer: A) US exports goods and receives foreign currency

71. Balance of payments formula:

A) Current account + Capital/Financial account + Official reserves = 0

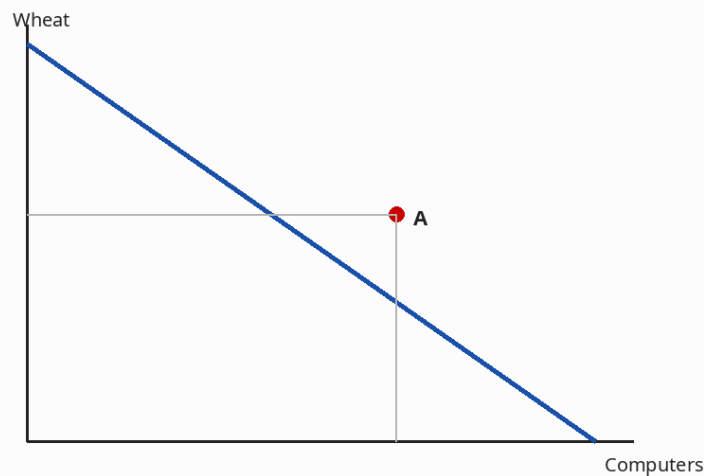
B) $GDP = C + I + G$ only

C) Profit = TR - TC

D) Demand = Supply

Correct answer: A) Current account + Capital/Financial account + Official reserves = 0

72. Look at the point A. What does it mean?



A) Efficient production point

B) Unattainable with current resources/technology

C) Inefficient production point

D) Minimum production point

Correct answer: B) Unattainable with current resources/technology

73. Absolute advantage:

A) Ability to produce a good using fewer resources

B) Ability to sell at highest price

C) Ability to import more goods

D) Ability to avoid taxes

Correct answer: A) Ability to produce a good using fewer resources

74. Which of the following would be a good example of an implicit cost incurred by Superior Airways?

A) Owner's time or capital used in business

B) Salary paid to pilots

C) Rent paid for offices

D) Fuel expenses

Correct answer: A) Owner's time or capital used in business

75. Everything that needs to be given up whenever a choice is made is called:

A) Opportunity cost

B) Fixed cost

C) Variable cost

D) Total revenue

Correct answer: A) Opportunity cost

76. Accounting profit is _____ compared to economic profit, because accountants _____ implicit costs in their calculations.

A) Larger; do not consider

B) Smaller; do not consider

C) Equal; always consider

D) Smaller; always consider

Correct answer: A) Larger; do not consider

77. The property of diminishing marginal product of labor states that:

A) Additional workers eventually add less output

B) Output always increases faster

C) Labor productivity never changes

D) Costs always disappear

Correct answer: A) Additional workers eventually add less output

78. The cost of raw materials will fall under the category of:

A) Variable cost

B) Fixed cost

C) Implicit cost

D) Sunk benefit

Correct answer: A) Variable cost

79. The lease payments made by a firm fall under the category of:

A) Fixed cost

B) Variable cost

C) Marginal revenue

D) Opportunity benefit

Correct answer: A) Fixed cost

80. Based on the table, if the Fixed Cost is \$500, what is the Marginal Cost of the 10th unit?

Quantity	Variable Cost
1	\$100
2	\$200
3	\$350
4	\$500
5	\$700
6	\$900
7	\$1,150
8	\$1,400
9	\$1,700
10	\$2,000

- A) \$100
- B) \$200
- C) \$300
- D) \$500

Correct answer: C) \$300

81. Based on the table, if the Fixed Cost is \$500, what is the Average Total Cost of the 5th unit?

Quantity	Variable Cost
1	\$100
2	\$200
3	\$350
4	\$500
5	\$700
6	\$900
7	\$1,150
8	\$1,400
9	\$1,700
10	\$2,000

- A) \$140
- B) \$200
- C) \$240
- D) \$700

Correct answer: C) \$240

82. Based on the table, if the Fixed Cost is \$500, what is the Average Variable Cost of the 4th unit?

Quantity	Variable Cost
1	\$100
2	\$200
3	\$350
4	\$500
5	\$700
6	\$900
7	\$1,150
8	\$1,400
9	\$1,700
10	\$2,000

- A) \$100
- B) \$125
- C) \$200
- D) \$500

Correct answer: B) \$125

83. Economies of scale occur when the _____ as the quantity of output increases.

- A) Long-run average total cost decreases
- B) Marginal cost always rises
- C) Fixed cost becomes zero
- D) Price always doubles

Correct answer: A) Long-run average total cost decreases

84. Total revenue equals the quantity of output the firm produces times the price at which it sells its output.

- A) True
- B) False
- C) Only in monopoly
- D) Only in government firms

Correct answer: A) True

85. Wages and salaries paid to workers are an example of implicit costs of production.

- A) True
- B) False
- C) Only in monopoly
- D) Only in agriculture

Correct answer: B) False

86. If total revenue is €100, explicit costs are €50, and implicit costs are €30, then accounting profit equals €50.

- A) True**
- B) False
- C) Only if taxes are zero
- D) Only if revenue is negative

Correct answer: A) True

87. If there are implicit costs of production, accounting profits will exceed economic profits.

- A) True**
- B) False
- C) Only in perfect competition
- D) Only in monopoly

Correct answer: A) True

88. When a production function gets flatter, the marginal product is increasing.

- A) True
- B) False**
- C) Always true in short run
- D) Only for fixed costs

Correct answer: B) False

89. If a firm continues to employ more workers within the same size factory, it will eventually experience diminishing marginal product

- A) True**
- B) False
- C) Only in long run
- D) Only with zero costs

Correct answer: A) True

90. If the production function for a firm exhibits diminishing marginal product, the corresponding total cost curve for the firm will become flatter as the quantity of output expands.

- A) True
- B) False**
- C) Only if wages fall
- D) Only in monopoly

Correct answer: B) False

91. Fixed costs plus variable costs equal total costs.

- A) True**
- B) False
- C) Only for services
- D) Only for imports

Correct answer: A) True

92. Average total costs are total costs divided by marginal costs.

- A) True
- B) False**
- C) Only in monopoly
- D) Only in long run

Correct answer: B) False

93. When marginal costs are below average total costs, average total costs must be falling.

- A) True**
 - B) False
 - C) Only if price rises
 - D) Only if demand falls
- Correct answer: A) True**

94. If, as the quantity produced increases, a production function first exhibits increasing marginal product and later diminishing marginal product, the corresponding marginal cost curve will be U-shaped.

- A) True**
 - B) False
 - C) Only for fixed costs
 - D) Only for taxes
- Correct answer: A) True**

95. The average total cost curve crosses the marginal cost curve at the minimum of the marginal cost curve.

- A) True
 - B) False**
 - C) Only in monopoly
 - D) Only when revenue is zero
- Correct answer: B) False**

96. The average total cost curve in the long run is flatter than the average total cost curve in the short run.

- A) True**
 - B) False
 - C) Only for small firms
 - D) Only with no capital
- Correct answer: A) True**

97. The efficient scale for a firm is the quantity of output that minimizes marginal cost.

- A) True
 - B) False**
 - C) Only in monopoly
 - D) Only in agriculture
- Correct answer: B) False**

98. In the long run, as a firm expands its production facilities, it generally first experiences diseconomies of scale, then constant returns to scale, and finally economies of scale.

- A) True
 - B) False**
 - C) Only with advertising
 - D) Only with imports
- Correct answer: B) False**

99. Which of the following is NOT a characteristic of a competitive market?

- A) Many buyers and sellers
 - B) Identical products
 - C) Free entry and exit
 - D) One seller controls the market**
- Correct answer: D) One seller controls the market**

100. Use the table to find the Total Revenue when the quantity is 8 units.

Quantity	Price	Total Revenue	Marginal Revenue
1	\$10	\$10	\$10
2	\$10	\$20	\$10
3	\$10	\$30	\$10
4	\$10	\$40	\$10
5	\$10	\$50	\$10
6	\$10	\$60	\$10
7	\$10	\$70	\$10
8	\$10	\$80	\$10

- A) \$8
- B) \$10
- C) \$80
- D) \$100

Correct answer: C) \$80

101. Use the table to find the Marginal Revenue when the quantity is 5.

Quantity	Price	Total Revenue	Marginal Revenue
1	\$10	\$10	\$10
2	\$10	\$20	\$10
3	\$10	\$30	\$10
4	\$10	\$40	\$10
5	\$10	\$50	\$10
6	\$10	\$60	\$10
7	\$10	\$70	\$10
8	\$10	\$80	\$10

- A) \$5
- B) \$10
- C) \$50
- D) \$100

Correct answer: B) \$10

102. Which of the following statements is true, regarding the revenues of a firm?

Quantity	Price	Total Revenue	Marginal Revenue
1	\$10	\$10	\$10
2	\$10	\$20	\$10
3	\$10	\$30	\$10
4	\$10	\$40	\$10
5	\$10	\$50	\$10
6	\$10	\$60	\$10
7	\$10	\$70	\$10
8	\$10	\$80	\$10

- A) Total Revenue = Price $\times$ Quantity
- B) Marginal Revenue is always greater than price
- C) Average Revenue is always zero
- D) Revenue does not depend on quantity

Correct answer: A) Total Revenue = Price $\times$ Quantity

103. A firm will maximize profits when its:

A) Marginal revenue equals marginal cost

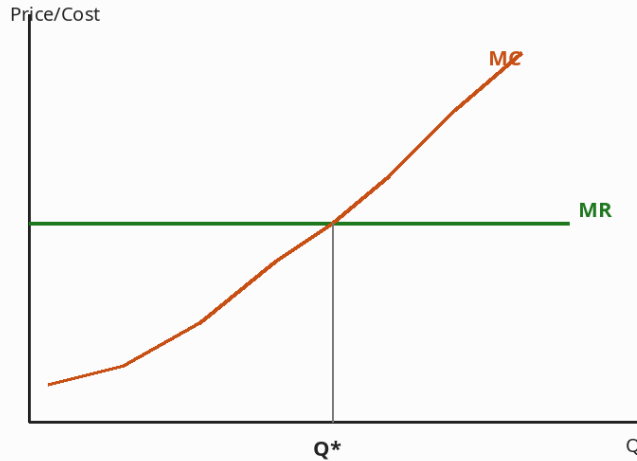
B) Average cost equals fixed cost

C) Total cost is highest

D) Marginal cost is zero

Correct answer: A) Marginal revenue equals marginal cost

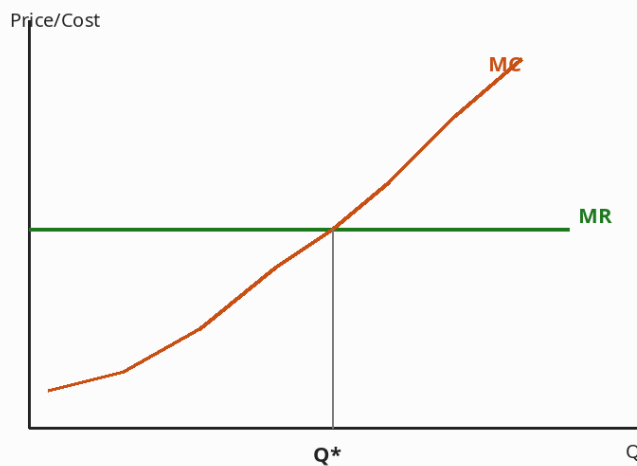
104. Which is the profit maximizing quantity according to the graph?



- A) Where ATC is minimum
- B) Where Price equals AVC
- C) Where $MR = MC$
- D) Where Total Cost is maximum

Correct answer: C) Where $MR = MC$

105. Based on the graph, which of the following statements is FALSE?



- A) Profit is maximized where $MR = MC$
- B) The firm considers marginal revenue
- C) The graph shows marginal cost
- D) Profit is maximized where quantity is zero

Correct answer: D) Monopoly always produces at minimum ATC

106. The short-run supply curve of a firm in perfect competition is the segment of its:

- A) MC curve above minimum AVC**
- B) MR curve above minimum ATC
- C) Demand curve below price
- D) AFC curve

Correct answer: A) MC curve above minimum AVC

107. Which of the following is an example of a barrier to entry into a monopoly market?

- A) Patent or government license**
- B) Many small sellers
- C) Free entry
- D) Identical products

Correct answer: A) Patent or government license

108. The demand curve faced by a monopoly is:

- A) Downward sloping**
- B) Perfectly horizontal
- C) Perfectly vertical only
- D) Always zero

Correct answer: A) Downward sloping

109. A monopoly is a _____, therefore the demand curve it faces is _____.

- A) Price maker; downward sloping**
- B) Price taker; horizontal
- C) Small firm; vertical
- D) Competitive firm; flat

Correct answer: A) Price maker; downward sloping

110. As output increases in a monopoly, the firm's total revenue:

- A) May rise at first and then fall**
- B) Always rises forever
- C) Always falls from the start
- D) Is always zero

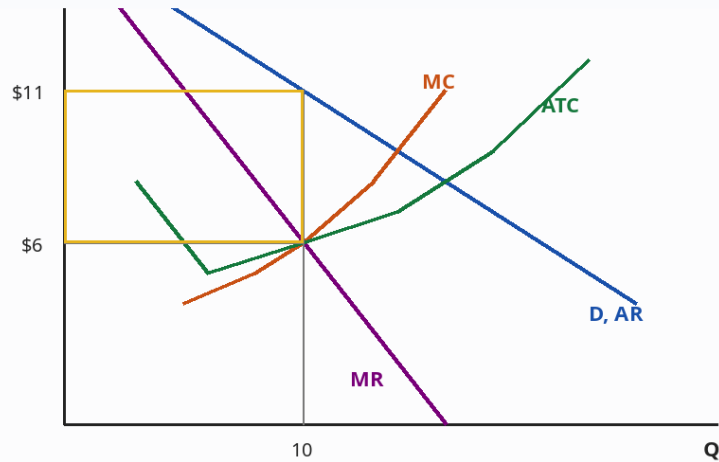
Correct answer: A) May rise at first and then fall

111. Marginal revenue in a monopoly is:

- A) Less than price**
- B) Always greater than price
- C) Equal to fixed cost
- D) Equal to total cost

Correct answer: A) Less than price

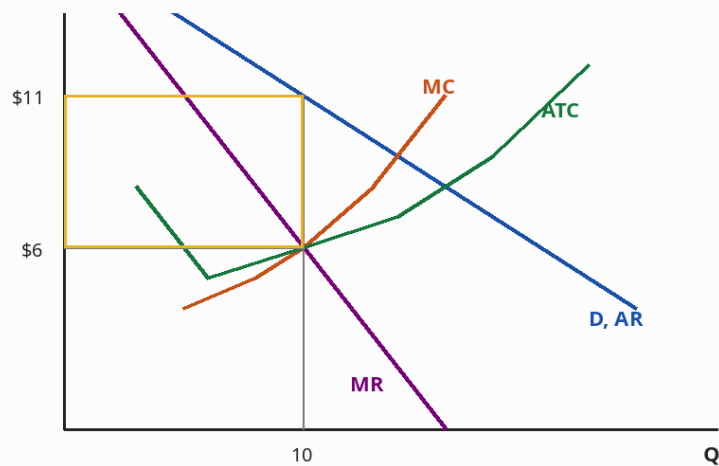
112. Which statement is True about the monopoly shown in the graph?



- A) The monopoly chooses output where $MR = MC$
- B) Price equals marginal cost
- C) Monopoly has no market power
- D) Monopoly always produces minimum ATC

Correct answer: A) The monopoly chooses output where $MR = MC$

113. Use the diagram to calculate the profit of the monopoly.



- A) \$20
- B) \$32
- C) \$50
- D) \$110

Correct answer: C) \$50

114. A monopoly tends to sell a _____ quantity at a _____ price than perfect competition.

A) Lower; higher

B) Higher; lower

C) Same; same

D) Lower; lower

Correct answer: A) Lower; higher

115. Which of the following statements is True regarding a profit maximizing monopoly?

A) It produces where $MR = MC$ and charges price from the demand curve

B) It always charges the lowest possible price

C) It has no control over price

D) It always produces maximum output

Correct answer: A) It produces where $MR = MC$ and charges price from the demand curve

116. Disadvantage of job production

A) High cost and slow production

B) Low customization

C) No need for skilled workers

D) Produces identical mass goods

Correct answer: A) High cost and slow production

117. Description of Job production

A) Products are made individually according to customer requirements

B) Continuous production of identical goods

C) Production of large batches only

D) Fully automated mass production

Correct answer: A) Products are made individually according to customer requirements

118. Which is not advantage of job production?

A) High production cost

B) High quality

C) Customization

D) Flexibility

Correct answer: A) High production cost

119. An example of batch production can be ?

A) Bakery producing batches of cakes

B) Tailor making one custom suit

C) Oil refinery running continuously

D) One artist painting one portrait

Correct answer: A) Bakery producing batches of cakes

120. Each batch goes through _____ stage(s) of the production process before moving onto next stage.

A) One

B) Zero

C) No production

D) Infinite

Correct answer: A) One

121. Which production occurs when many similar items are produced together?

- A) Batch production**
- B) Job production
- C) Project production
- D) One-off production

Correct answer: A) Batch production

122. Flow Production is the production of

- A) Large quantities of standardized goods continuously**
- B) One unique product only
- C) Services only
- D) Random goods without stages

Correct answer: A) Large quantities of standardized goods continuously

123. Who was the first mastered the moving assembly line and able to improve other aspects of industry by doing so?

- A) Henry Ford**
- B) Adam Smith
- C) Karl Marx
- D) Elon Musk

Correct answer: A) Henry Ford

124. Which of the following is NOT a characteristic of a Just-in-Time (JIT) system?

- A) Large stockpiles of inventory**
- B) Low inventory
- C) Deliveries when needed
- D) Reduced storage costs

Correct answer: A) Large stockpiles of inventory

125. Find the wrong features of Management:

- A) Management does not require planning**
- B) Management involves organizing
- C) Management involves controlling
- D) Management involves leading

Correct answer: A) Management does not require planning

126. Which management function involves guiding and instructing employees regarding methods and procedures?

- A) Directing**
- B) Planning
- C) Budgeting
- D) Auditing

Correct answer: A) Directing

127. Find wrong the step(s) of the Control Process:

- A) Ignoring deviations**
- B) Setting standards
- C) Measuring performance
- D) Correcting deviations

Correct answer: A) Ignoring deviations

128. Which of the following is a common characteristic of all organizations?

- A) Common goal**
- B) Same number of employees
- C) Same profit level
- D) Same ownership structure

Correct answer: A) Common goal

129. Which of the following factors has significantly changed the role of managers?

- A) Technology and globalization**
- B) Lack of communication
- C) Removal of competition
- D) End of innovation

Correct answer: A) Technology and globalization

130. Important Skills Needed at Top Management Levels

- A) Conceptual skills**
- B) Only manual skills
- C) Only typing skills
- D) Only physical strength

Correct answer: A) Conceptual skills

131. Decisional Roles:

- A) Entrepreneur, disturbance handler, resource allocator, negotiator**
- B) Monitor, disseminator, spokesperson
- C) Figurehead, leader, liaison
- D) Sender, receiver, encoder

Correct answer: A) Entrepreneur, disturbance handler, resource allocator, negotiator

132. Interpersonal Roles

- A) Figurehead, leader, liaison**
- B) Entrepreneur, negotiator, controller
- C) Monitor, spokesperson, decoder
- D) Accountant, supplier, buyer

Correct answer: A) Figurehead, leader, liaison

133. Informational Roles

- A) Monitor, disseminator, spokesperson**
- B) Leader, liaison, figurehead
- C) Entrepreneur, negotiator, resource allocator
- D) Producer, consumer, seller

Correct answer: A) Monitor, disseminator, spokesperson

134. What is Effectiveness in Management?

- A) Achieving organizational goals**
- B) Using more resources only
- C) Reducing all employees
- D) Avoiding planning

Correct answer: A) Achieving organizational goals

135. Good management strives for _____.

- A) Efficiency and effectiveness**
- B) Higher costs only
- C) Less communication
- D) Random decisions

Correct answer: A) Efficiency and effectiveness

136. Which of the following represents the core functions of management?

A) Planning, organizing, leading, controlling

B) Buying, selling, importing, exporting

C) Hiring, firing, taxing, lending

D) Encoding, decoding, noise, channel

Correct answer: A) Planning, organizing, leading, controlling

137. Which of the following best describes directing in management?

A) Guiding, motivating, and supervising employees

B) Setting prices only

C) Recording taxes only

D) Producing goods only

Correct answer: A) Guiding, motivating, and supervising employees

138. Who is passing on privileged information directly to subordinates?

A) Disseminator

B) Monitor

C) Negotiator

D) Entrepreneur

Correct answer: A) Disseminator

139. Communication is the process of:

A) Exchanging information and meaning

B) Producing goods

C) Calculating GDP

D) Reducing costs only

Correct answer: A) Exchanging information and meaning

140. In the communication process, encoding means:

A) Converting ideas into symbols/messages

B) Removing all noise

C) Receiving feedback

D) Ignoring the receiver

Correct answer: A) Converting ideas into symbols/messages

141. In the communication process, decoding means:

A) Interpreting the received message

B) Creating the original idea

C) Choosing a supplier

D) Increasing production

Correct answer: A) Interpreting the received message

142. Which of the following is an example of noise in communication?

A) Loud background sound during a conversation

B) Clear message

C) Correct translation

D) Active listening

Correct answer: A) Loud background sound during a conversation

143. The control function of communication is mainly used to:

A) Guide behavior and regulate actions

- B) Increase inflation
- C) Produce physical goods
- D) Eliminate all feedback

Correct answer: A) Guide behavior and regulate actions

144. Communication motivates employees by:

A) Clarifying goals and giving feedback

- B) Hiding information
- C) Increasing confusion
- D) Removing all interaction

Correct answer: A) Clarifying goals and giving feedback

145. Emotional expression through communication means that employees can:

A) Share feelings and emotions

- B) Only calculate costs
- C) Avoid all contact
- D) Produce more machines

Correct answer: A) Share feelings and emotions

146. The information function of communication involves:

A) Providing data needed for decisions

- B) Blocking all messages
- C) Creating physical products
- D) Setting exchange rates

Correct answer: A) Providing data needed for decisions

147. Which of the following is an example of interpersonal communication?

A) Face-to-face conversation between two employees

- B) GDP calculation
- C) Inventory storage
- D) Tax collection

Correct answer: A) Face-to-face conversation between two employees

148. A communication channel is:

A) Medium through which a message is transmitted

- B) The final product
- C) The total cost
- D) The market price

Correct answer: A) Medium through which a message is transmitted

149. Which of the following can be a communication channel?

A) Email

- B) Inflation
- C) GDP
- D) Profit

Correct answer: A) Email

150. Semantic noise occurs when:

A) Words or symbols are misunderstood

- B) A machine is too loud
- C) A person listens carefully
- D) Message is perfectly clear

Correct answer: A) Words or symbols are misunderstood

151. Physical noise in communication may include:

- A) Loud sounds, poor connection, or visual distractions**
- B) Different meanings of words
- C) Emotional stress only
- D) Clear feedback

Correct answer: A) Loud sounds, poor connection, or visual distractions

152. Psychological noise may be caused by:

- A) Stress, fear, prejudice, or emotions**
- B) Loud music only
- C) Broken microphone only
- D) Perfect understanding

Correct answer: A) Stress, fear, prejudice, or emotions

153. Active listening helps to:

- A) Improve understanding and reduce misunderstandings**
- B) Increase confusion
- C) Ignore the speaker
- D) Stop feedback

Correct answer: A) Improve understanding and reduce misunderstandings

154. Simplifying language is useful because it:

- A) Makes the message easier to understand**
- B) Makes communication longer
- C) Creates more semantic noise
- D) Hides the main idea

Correct answer: A) Makes the message easier to understand

155. Nonverbal communication includes:

- A) Gestures, facial expressions, posture, and eye contact**
- B) Only written reports
- C) Only emails
- D) Only financial data

Correct answer: A) Gestures, facial expressions, posture, and eye contact

156. Downward communication flows from:

- A) Managers to subordinates**
- B) Subordinates to managers
- C) Customers to suppliers
- D) Competitors to firms

Correct answer: A) Managers to subordinates

157. Upward communication flows from:

- A) Subordinates to managers**
- B) Managers to subordinates
- C) CEO to all employees only
- D) Government to business

Correct answer: A) Subordinates to managers

158. Lateral communication occurs between:

A) Employees or departments at the same level

B) Only managers and owners

C) Only customers and sellers

D) Only top managers and government

Correct answer: A) Employees or departments at the same level

159. In a chain network, communication flows:

A) Step by step through a formal line

B) From everyone to everyone

C) Only through one central person

D) Randomly with no order

Correct answer: A) Step by step through a formal line

160. A wheel network is characterized by:

A) One central person communicating with others

B) Equal communication among all members

C) No leader or center

D) Only informal rumors

Correct answer: A) One central person communicating with others

161. An all-channel network is most suitable for:

A) Teamwork and open communication

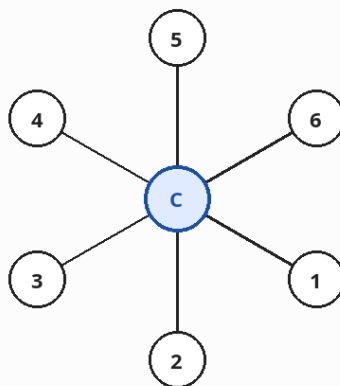
B) Strict one-way orders only

C) No feedback situations

D) Individual work without contact

Correct answer: A) Teamwork and open communication

162. The picture shows which type of communication network?



Communication network diagram

A) Chain network

B) Wheel network

C) All-channel network

D) Circle network

Correct answer: B) Wheel network

163. The grapevine (сарафанное радио) is an example of:

A) Informal communication

B) Formal report

C) Downward communication only

D) Official instruction

Correct answer: A) Informal communication

Answer Key

No.	Answer	No.	Answer
1	A) Using resources to produce maximum output	2	C) Manufacturing of furniture
3	B) Small enterprise	4	C) Large enterprise
5	C) Material and intangible production	6	A) The value of final goods and services produced in a country
7	A) Agriculture, industry, construction, services	8	A) Material production creates physical goods, intangible production creates services
9	A) GDP measures total value of final goods and services	10	A) Creating goods and services
11	A) Can improve allocation of resources	12	D) Free scholarship received
13	A) Any price above marginal cost	14	D) Elimination of all car accidents
15	A) Both can become better off	16	B) Buyers and sellers through markets
17	D) Make every daily business decision	18	A) Productivity growth
19	A) Growth in money supply	20	A) Increase in the short run
21	D) Individual firm pricing only	22	C) \$3
23	C) Used car resale	24	A) Never, they are equal by definition
25	A) Production of final goods increases	26	A) 2021 GDP as inventory investment
27	A) Real GDP adjusts for inflation, nominal GDP uses current prices	28	A) Remains unchanged
29	A) Nominal GDP adjusted for price changes	30	C) 200
31	A) One step/action	32	A) Expanding into a national network
33	A) Strategic goals	34	A) Strategic goal
35	A) Innovation goal	36	A) Marketing goals
37	A) Social goals	38	A) Internal goals
39	A) External goal	40	A) Is required for organization survival/functioning
41	A) Innovation goals	42	A) State/result goals
43	A) Image/reputation goal	44	A) Linear structure
45	C) Divisional/Product structure	46	C) Matrix structure
47	A) Regional structure	48	C) Project structure
49	B) Functional structure	50	A) Marketing
51	A) Financial goals	52	A) Interest
53	D) Buildings and equipment	54	C) 4
55	A) A place/mechanism where buyers and sellers exchange goods and services	56	C) Monopolistic competition
57	B) 10-20%	58	A) Manipulate
59	A) Production concept	60	C) 1960s
61	A) Social media and online platforms	62	A) Traditional, command, market, mixed
63	A) Increases competition and informs consumers	64	A) Country A
65	B) Country B	66	C) 4.8
67	D) Study only one firm's internal management	68	A) Exports > Imports
69	B) Imports > Exports	70	A) US exports goods and receives foreign currency
71	A) Current account + Capital/Financial account + Official reserves = 0	72	B) Unattainable with current resources/technology
73	A) Ability to produce a good using fewer resources	74	A) Owner's time or capital used in business
75	A) Opportunity cost	76	A) Larger; do not consider
77	A) Additional workers eventually add less output	78	A) Variable cost
79	A) Fixed cost	80	C) \$300
81	C) \$240	82	B) \$125

83	A) Long-run average total cost decreases	84	A) True
85	B) False	86	A) True
87	A) True	88	B) False
89	A) True	90	B) False
91	A) True	92	B) False
93	A) True	94	A) True
95	B) False	96	A) True
97	B) False	98	B) False
99	D) One seller controls the market	100	C) \$80
101	B) \$10	102	A) Total Revenue = Price × Quantity
103	A) Marginal revenue equals marginal cost	104	C) Where MR = MC
105	D) Monopoly always produces at minimum ATC	106	A) MC curve above minimum AVC
107	A) Patent or government license	108	A) Downward sloping
109	A) Price maker; downward sloping	110	A) May rise at first and then fall
111	A) Less than price	112	A) The monopoly chooses output where MR = MC
113	C) \$50	114	A) Lower; higher
115	A) It produces where MR = MC and charges price from the demand curve	116	A) High cost and slow production
117	A) Products are made individually according to customer requirements	118	A) High production cost
119	A) Bakery producing batches of cakes	120	A) One
121	A) Batch production	122	A) Large quantities of standardized goods continuously
123	A) Henry Ford	124	A) Large stockpiles of inventory
125	A) Management does not require planning	126	A) Directing
127	A) Ignoring deviations	128	A) Common goal
129	A) Technology and globalization	130	A) Conceptual skills
131	A) Entrepreneur, disturbance handler, resource allocator, negotiator	132	A) Figurehead, leader, liaison
133	A) Monitor, disseminator, spokesperson	134	A) Achieving organizational goals
135	A) Efficiency and effectiveness	136	A) Planning, organizing, leading, controlling
137	A) Guiding, motivating, and supervising employees	138	A) Disseminator
139	A) Exchanging information and meaning	140	A) Converting ideas into symbols/messages
141	A) Interpreting the received message	142	A) Loud background sound during a conversation
143	A) Guide behavior and regulate actions	144	A) Clarifying goals and giving feedback
145	A) Share feelings and emotions	146	A) Providing data needed for decisions
147	A) Face-to-face conversation between two employees	148	A) Medium through which a message is transmitted
149	A) Email	150	A) Words or symbols are misunderstood
151	A) Loud sounds, poor connection, or visual distractions	152	A) Stress, fear, prejudice, or emotions
153	A) Improve understanding and reduce misunderstandings	154	A) Makes the message easier to understand
155	A) Gestures, facial expressions, posture, and eye contact	156	A) Managers to subordinates
157	A) Subordinates to managers	158	A) Employees or departments at the same level
159	A) Step by step through a formal line	160	A) One central person communicating with others

161	A) Teamwork and open communication	162	B) Wheel network
163	A) Informal communication		